NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)

PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 21.02.2022 AT 10.30 AM

TC/CP. Nos.	CA/IA No.	Section/ Rule	Name of Parties
CP(CAA) No.6/230/AMR/2021		230	Sree Valmiki Educaion Mangement Private Limited (Transferor Co.) (State of Andhra Pradesh) & Varsity Education Management Private Limited (Transferee Co.) - (State of Maharastra)

s

Counsel for Petitioner(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

Counsel for Respondent(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

ORDER

CP(CAA) No.6/230/AMR/2021 is allowed, vide separate orders.

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH, AT HYDERABAD

CP (CAA) No.6/230/AMR/2021
Connected with
CA (CAA) No.10/230/AMR/2021

In the matter of Section 230 to 232 of the Companies Act, 2013

AND

In the matter of Scheme of Merger by Absorption of **SREE VALMIKI EDUCATION MANAGEMENT PRIVIATE LIMITED**, the Transferor Companies (having its registered office In Andhra Pradesh) by **VARSITY EDUCATION MANAGEMENT PRIVATE LIMITED**, the Transferee Company (having its registered office in Maharashtra)

Sree Valmiki Education Management Private Limited,
(CIN:U80100AP2005PTC046332)
Survey No.399/2, Poranki Village,
Penumuluru, Vijayawada, Krishna District,
Andhra Pradesh – 521137.

... Petitioner/Transferor Company

Date of Pronouncement of Order: 21.02.2022

Coram:

Justice Telaprolu Rajani, Member (Judicial).

Counsel/Parties present:

For Petitioner(s)	:	Mr. Vivek Ganesh & Mrs.S.Lakshmi, Advocates
For Regional Director	:	Mr.B.Mohanty, ICLS
For Official Liquidator	:	Mrs. Santoshi Jagirdari, OL

Per: Justice Telaprolu Rajani, Member (Judicial)

ORDER

1. The present Company Petition is filed by Sree Valmiki Education Management Private Limited/Transferor Company and Varsity Education Management Private Limited/Transferee Company seeking to permit the Transferor Companies for Merger by Absorption (the Scheme for short) with the Transferee Company. Transferor Company's registered office is situated at Andhra Pradesh and the Transferee Company's registered office is situated at Maharashtra.

2. Briefly the facts are as follows:

The Transferor and Transferee Companies are engaged in the same industry and businesses. The Amalgamation will bring in resources (physical and academic) into Transferee Company to complement its existing capabilities. Transferor Company's current business profile and available freehold land will enable the Transferee Company to achieve completeness of output academic services. The scheme will reduce administrative costs and avoid duplication of costs and enable the Transferee Company to affect internal economies and optimize profitability and improve cash management, and provide access to increased cash flow generated by the combined business which will enable the Transferee Company to fund business opportunities thereby growing into a larger and stronger entity. The appointed date is 30.06.2021.The Board of Directors of all the

Transferor Companies and Transferee Company approved their scheme at their respective board meetings held on 19.08.2021. Consent, by way of affidavit, supported by Board resolutions was also obtained from all the equity shareholders, secured and unsecured creditors of Transferor and Transferee Companies.

The Tribunal by order dated 03.11.2021 dispensed with the requirement of holding meetings of all shareholders, unsecured creditors of the petitioner company and of secured creditors of Transferor Company and Transferee Company. The scheme of arrangement was approved by the board of directors and others. Notices were issued to all the statutory authorities and objections were received by the Regional Director (RD) and Official Liquidator (OL).

3. Heard the Learned Counsel appearing for the Petitioner, RD and OL and perused the records.

4. The Regional Director (RD) filed his report dated 09.02.2022 and raised the following objections and the Petitioner Company replied to the same as detailed below:

S.No.	RD's Observations	Reply of the Petitioner Companies by way of affidavit dated 15.02.2022

1	The Directorate has received letter dated 11.01.2022 from the ROC, Andhra Pradesh with respect to Transferor Company by pointing out certain observations as under:- a) The Regional Director (RD) sought this Tribunal to direct the Petitioner Company to preserve its books of accounts and papers and records and shall not be disposed of without the prior permission of the Central Government in term of Section 239 of the Companies Act, 2013.	The Transferor Company undertakes to preserve its books of accounts and papers and records and that the same shall not be disposed of without the prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013.

	b) The Regional Director (RD) sought this Tribunal to direct the Petitioner Company to ensure statutory compliance of all applicable laws and also on sanctioning of the present scheme the applicant company shall not be absolved for any of its statutory liability in any manner.	The Transferor Company undertakes to be bound by provisions of and to ensure statutory compliance of all applicable laws.
	c) The Regional Director (RD) sought this Tribunal to direct the Petitioner Company, involved in the scheme to comply with Rule 17(2) of Companies (Compromise, Arrangement and Amalgamation) Rules,	The Transferor Company undertakes to comply with Rule 17(2) of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 with respect to filing of order for confirmation of the scheme to be filed in Form No.INC-28 with the

	2013 with respect to filing of order for confirmation of scheme to be filed in Form No.IC-28 with the concerned office of RoC by the Petitioner Company.	concerned office of Registrar of Companies by the Transferor Company.
	d) The Regional Director (RD) sought this Tribunal to direct the Petitioner Transferor Company to furnish an undertaking that the Transferee Company shall file an application with RoC office indicating the revised authorised capital and proof of paying prescribed fees due on revised capital after setting off the fee	The Transferor Company has given its undertaking by way of separate affidavit, which affidavit is annexed hereto as Annexure-I.

	already paid by Transferor Company.	
2	Further the Regional Director (RD) sought this Tribunal to direct the Petitioner Transferor Company to change the appointed date from 30.06.2021 to 01.04.2021.	The General Circular No.9/2019 dated 21.08.2019 by Ministry of Corporate Affairs (the "MCA") while clarifying on interpretation of 'appointed date' for the purpose of Section 232(6) of the Companies Act, 2013 has stated as follows: ***"Section 232(6) of the Act states that the scheme shall be deemed to be effective from the 'appointed date' and not a date subsequent to the appointed date. This is an enabling provision to allow the companies to decide and agree upon an 'appointed date' from***

		which the scheme shall come into force." It clearly clarified that the participating companies have the freedom to decide on what should be the appointed date for a scheme of arrangement and it may be a specific calendar date or may be tied to the occurrence of an event and since the appointed date of 30.06.2021 is not beyond a year prior to filing of the company application i.e., 08.09.2021.
3	Upon the scheme becoming effective, the existing 62,17,410 equity shares of Rs.5/- each of the Transferee company held by the Transferor Company, as on the effective date, shall	"6(a). the provision of Section 232(6) of the Act enables the companies in question to choose and state in the scheme an 'appointed date'. This date may be a specific calendar date or

	without any application or deed, stand cancelled without any payment. The reduction of share capital of the Transferee Company shall be effected as an integral part of this Scheme and the Transferee Company shall not be required to follow the process under Section 66 of the Act or any other provisions of Applicable law separately. The reduction would not involve either a diminution of liability in respect of unpaid share capital, if any or payment to any shareholder of any unpaid share capital. Notwithstanding, the reduction in the equity share capital of the Transferee	may be tied to the occurrence of an event such as grant of license by a competent authority or fulfilment of any preconditions agreed upon by the parties, or meeting any other requirement as agreed upon between the parties, etc., which are relevant to the scheme. c) However, if the 'appointed date' is significantly ante-dated beyond a year from the date of filing, the justification for the same would have to be specifically brought out in the scheme and it should not be against public interest."

	Company, the Transferee Company shall not be required to add "and reduced" as suffix to its name. The approval of this scheme b y the shareholders of the Transferee Company shall be deemed to have the approval for the purpose of effecting the capital reduction in the Transferee Company under Section 66 of the Act and other applicable provisions of the Act and no further resolutions would be required to be separately passed in this regard.	
4	Letter dated 10.01.2022 has been received from Mr.I.P.Vardhani, Income Tax Officer, Vijayawada addressed to Pr.	The Transferor Company has served on the concerned tax authority (i) notice in form CAA.3 with relevant documents on 16th

	Commissioner of Income Tax(Central), Hyderabad, stating that the jurisdiction over the case vest with DCIT, Central Circle-3(1), Hyderabad and till date no report in the matter has been received from DCIT Central Circle – 3(1), Hyderabad.	November, 2021; (ii) copy of company petition and annexure thereto on 29.11.2021 and (iii) notice of hearing on 08.01.2022. The petitioner company has caused the proof of service for the above to be filed by affidavits dated 19.11.2021 and 24.01.2022 respectively. It is further submitted that, tax implication if any arising out of scheme is subject to determination by the Income Tax Authorities and the decision of the concerned tax authorities shall be binding. Notwithstanding the non-receipt of any report or comments from the Tax authorities, the Petitioner

		Company shall remain bound and undertakes to continue to ensure statutory compliance with the provisions of Income Tax Act, 1961.

5. The Regional Director (RD) after considering the said reply by the Petitioner, did not raise any further objection. The Official Liquidator (OL) made certain observations and the Petitioner Company has filed reply to the report of the Official Liquidator (OL) which is as follows;

S.No	Observations of Official Liquidator	Response of the Petitioners Companies
1	Clause 13.1 of Part-II of the Scheme seeks to protect the employees of the Transferor company, if any, if they are in service as on the Effective date. Hence, this Hon'ble Tribunal may be pleased to direct the Transferor and Transferee companies to submit an undertaking (on an Affidavit duly notarized) to this Hon'ble	The learned Official Liquidator while referring to Clause 13.1, Part II of the Proposed Scheme, has submitted for directions of this Hon'ble Tribunal that the Transferor and the Transferee Companies be directed to undertake that there would be no retrenchment of any

	Tribunal to the effect that there would be no retrenchment of any employee who were in service as on appointed date as well.	employees who were in service as on the Appointed Date (i.e., 30.06.2021). In this regard, it is submitted that the proposed Scheme does not envisage retrenchment of employees of the Transferor Company in Service as on the Appointed Date, and the Transferor Company undertakes to this Hon'ble Tribunal that, there would be no retrenchment of any of its permanent employees, if any, in service as on the Appointed Date, during the period on or after the Appointed Date but prior to the Effective Date.
2	That as per the provisional Balance Sheet as at 30.06.2021	The Transferor Company has served on the

	the Transferor Company is loss making company getting merged in profit making Transferee Company. Hence, the Income tax implication due to merger needs to be examined by the Income Tax Department.	concerned tax authority (i) notice in form CAA.3 with relevant documents on 16.11.2021; (ii) copy of company petition and annexure thereto on 29.11.2021 and (iii) notice of hearing on 08.01.2022. The Petitioner Company has caused the proof of service for the above to be filed by Affidavits dated 19.11.2021 and 24.01.2022 respectively. It is further submitted that, tax implications if any arising out of the Scheme is subject to determination by the Income Tax Authorities and the decision of the concerned tax authorities shall be binding. Notwithstanding the non

		receipt of any report or comments from the Tax authorities, the Petitioner Company shall remain bound and undertakes to continue to ensure statutory compliance with the provisions of Income Tax Act, 1961.

6. Finally the Official Liquidator (OL) accepted the submissions made by the Petitioners and did not raise any objections against accepting the merger scheme of the Petitioners Companies.

7. Considering the entire facts and circumstances of the case and on perusal of the Scheme, reports of the Regional Director, Official Liquidator, and reply/undertakings of the Petitioner Companies thereon and the documents produced on record, the Scheme of Amalgamation appears to be fair and reasonable and is not contrary to public policy and not in violation of any provisions of law. All the statutory compliances have been made under Section 230 to 232 of the Companies Act, 2013.

8. The Company Petition is allowed with the following directions:-

a) The Scheme of Amalgamation (Copy of the Scheme enclosed at Page No.45 to 67 of the Petition)is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Companies and their respective Shareholders and Creditors, Employees and all concerned under the Scheme.

b) The Scheme shall become effective from the Appointed Date i.e., 30.06.2021 and shall be made operational from the date of filing of the orders with the Registrar of Companies.

c) While approving the Scheme as above, it is further clarified that this order will not be construed as on order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

d) The Petitioner Companies are directed to preserve their books of accounts and papers and records and not to dispose of without the prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013.

e) All concerned authorities to act on a copy of this order along with the Scheme duly authenticated by the Registrar of this Tribunal.

The Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme immediately.

f) The Petitioner Companies are directed to take appropriate steps to submit the said Scheme to Registrar of Companies within 30 days from the date of receipt of copy of this order.

g) The Petitioner Companies are directed to issue newspaper publication with respect to approval of Scheme of Amalgamation, in the same newspaper in which previous publications were issued in order to ensure transparency/dissemination of complete information to all concerned parties about the approval granted by the Tribunal for the Scheme as proposed.

h) The Petitioner Companies are further directed to take all consequential and statutory steps required in pursuance of the approved Scheme of Amalgamation under the provisions of the Act.

i) The Petitioner Companies are also directed to strictly comply with all the Undertakings given by them including those with regard to payment of due taxes and other statutory dues as mentioned in foregoing paragraphs of this order.

j) The Petitioner Companies are directed to strictly adhere to the above directions and applicable provisions of the Companies Act.

9. Accordingly, the Scheme stands sanctioned and the Company Petition bearing CP (CAA) No.6/230/AMR/2021 stands disposed of.

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

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